

Answer Key — Exchange Concepts Knowledge Check, Variant 01

Correct statements are listed per question. Scoring: +1 per correct selection, -2 per incorrect selection, 0 for unselected, floor of 0 overall. Maximum possible score = 150 (30 questions × 5 correct-option slots, though the actual max equals the total number of true statements below, since only true statements can be scored positively — see note at the end).

#	Correct	#	Correct
1	A, C, D	16	A, C, E
2	A, B, C, E	17	A, C, D
3	A, B, C	18	A, B, C, E
4	A, C, D, E	19	A, C, D, E
5	A, B, E	20	A, C, D, E
6	A, B, C, D	21	A, B, E
7	A, B, D, E	22	A, C, E
8	A, B, C, E	23	B, C, E
9	B, E	24	A, B, D, E
10	B, D	25	A, B, D, E
11	A, C, E	26	A, C, E
12	A, B, D	27	A, B, D, E
13	A, C, E	28	A, B, C, E
14	A, B, C, E	29	A, D, E
15	A, C, D, E	30	A, B, C, D

Notes on selected answers

- **Q1(B):** A bond's coupon rate reflects the issuer's creditworthiness at issuance — riskier issuers pay more, so B is false.
- **Q4(B):** CME uses pro-rata for SOFR/Treasury futures but FIFO for equity index futures (E-mini S&P 500, E-mini Nasdaq 100), so a blanket "every product" claim is false.
- **Q9(A, C, D):** Market orders cannot rest in the book (A false); a trailing stop is not a resting limit order (D false); its ratchet advances in only one favourable direction and freezes otherwise (C false).
- **Q19(D):** The half-spread revenue figure ($\$0.05 \times 500 = \25) is exactly as stated in the source text.
- **Q21(C, D):** The auction's price-improvement rule means a \$152 bidder still only pays the \$151 equilibrium price; the \$152 sell order does not execute because no buyers remain at that price.

- **Q26(B):** Position limits (unit caps) and credit limits (notional/exposure caps) measure different things, despite often being grouped together.
- **Q29(B, C):** Knight Capital's individual fills were priced at real, prevailing market prices and were therefore *not* clearly erroneous in the regulatory sense — the catastrophe was the accumulated volume, not the price of any single trade. Spoofing orders are placed *without* genuine intent to trade, contrary to statement C.
- **Q30(E):** Maker-taker pays the maker (resting order) a rebate and charges the taker (aggressor) a fee — the reverse of what E claims.